

THE HOLY GRAIL OF TRADING

Session 5 — Comprehensive Student Notes

Instructor: Balakrishna

Topics: Continuation Setups (RDB & RDS) · Setup Conditions · Inside Bar Rule · Entry & Stop Loss Mechanics · Target Setting with NRC · Trailing Stop Loss · Exhaustion Candles · Bearish Market Advantage

Session Overview

Topic	Summary
1. Continuation vs Reversal Setups	Reversal setups catch the top and bottom. Continuation (RDB/RDS) setups let you board the same trend in the middle — like catching a train at an intermediate station.
2. RDB — R Delta Buy	Two buy-continuation setups (RDB1 & RDB2) used when price has already reversed from support and is moving up. Re-entry or fresh mid-trend entry.
3. RDS — R Delta Sell	Two sell-continuation setups (RDS1 & RDS2) used when price has already reversed from resistance and is moving down. Re-entry or fresh mid-trend entry.
4. Six Mandatory Conditions	All six conditions must be met before entering any RDB or RDS trade. Missing even one condition = no trade.
5. Inside Bar Rule	Setup candle must NOT be an inside bar. If the entire candle body is contained within a prior candle (Mother Candle), it becomes part of an NRC and cannot be traded.
6. Entry & Stop Loss	Entry triggers when the setup candle's high is broken (RDB) or low is broken (RDS). Stop loss is placed on the opposite side of the setup candle, with a buffer.
7. Trailing Stop Loss	Each new RDB/RDS setup on the same move allows you to trail your existing stop loss to the new candle's low (buy) or high (sell) — locking in profits progressively.
8. Target Setting with NRC	Default target is 1:1 risk-reward. NRC zones ahead of price act as natural targets. The high or low of an NRC zone in the path is the target level.

9. Exhaustion Candle	A very large, fast candle that opens at one price and moves significantly — signals buyer/seller exhaustion. Do not enter after an exhaustion candle. Wait for confirmation.
10. Bearish Market Advantage	Bearish (falling) markets are easier to trade than bullish ones. Fewer gap-ups, more predictable moves, better RDS opportunities.

1. Introduction — Continuation Setups vs Reversal Setups

Session 5 builds directly on the reversal setups (IGB/IGS) taught in Session 4. While reversal setups catch the move at the very top and bottom, continuation setups allow you to enter in the middle of an already-moving trend. This session introduces all four continuation setups: RDB1, RDB2, RDS1, and RDS2.

1.1 The Train Analogy — The Core Concept

Balakrishna uses a powerful analogy to explain the logic of continuation setups:

- A train departs from Mumbai heading to Bangalore (destination).
- If you miss the train at Mumbai (the starting point — i.e., you missed the reversal setup at support), you do not need to give up.
- There are multiple intermediate stations between Mumbai and Bangalore. You can board the same train at any intermediate station using any available vehicle to chase it.
- As long as the train has not yet reached its destination (Bangalore = resistance for a buy trade), you can board at any station.
- Once it reaches the destination, you stop looking for continuation buy entries and instead look for reversal sell setups.

Core Principle: As long as price has not reached its destination (the opposing S/R level), you can keep finding re-entry opportunities using continuation setups. Every pullback in the middle of the trend is a potential boarding station.

1.2 Who Uses Continuation Setups?

User Type	How Continuation Setups Help
Missed the reversal entry	You saw the setup at support but did not take the trade. RDB lets you enter in the middle of the move.
Wants a re-entry	You took the reversal trade, but it hit your stop loss on a brief spike. RDB gives you a chance to re-enter.

Wants to add to a winning trade

You are already in profit. RDB/RDS gives you a technical reason to add more quantity (pyramid).

Wants to trail stop loss

Each new RDB/RDS formation allows you to move your stop loss closer to the current price, reducing risk.

2. RDB — R Delta Buy (Continuation Buy Setups)

RDB stands for Reversal Delta Buy. It is used when price has already reversed from a support level and is moving upward. You use RDB to enter or re-enter the buy trade during the upward move, before it reaches resistance.

2.1 The Two RDB Candle Patterns

Setup	Candle Colour	Delta Colour / Direction
RDB1	GREEN (positive/bullish candle)	NEGATIVE (red delta — sellers inside)
RDB2	RED (negative/bearish candle)	POSITIVE (green delta — buyers inside)

Shared Concept: Both RDB1 and RDB2 represent a TRAP. In RDB1, sellers tried to push price down while buyers absorbed them — the green candle with negative delta shows sellers were trapped. In RDB2, price fell but buyers were dominant inside — bears got trapped and will be squeezed out.

□ **Note:** RDB1 and RDB2 are the same as IGB1 and IGB2 from Session 4 (reversal setups) in terms of their candle + delta combination. The DIFFERENCE is the LOCATION. IGB is used AT support (reversal). RDB is used IN THE MIDDLE of the upward move (continuation).

2.2 The Six Mandatory Conditions for RDB

ALL six conditions must be satisfied before taking any RDB trade. Skipping even one condition invalidates the setup.

RDB — All Six Conditions (ALL Must Be Met)

1. Price must have ALREADY reversed from a MAJOR support level. The reversal is confirmed. You are not entering at support — you are entering mid-trend after the reversal.
2. A valid setup candle must form: either an RDB1 (green candle + negative delta) or RDB2 (red candle + positive delta).
3. The setup candle must NOT be an Inside Bar. The entire body of the setup candle must NOT be contained within the range of the preceding candle. If it is inside, it is part of an NRC — skip it.
4. The LOW of the setup candle must NOT be broken before the HIGH is broken. If the low breaks first → setup becomes INVALID immediately. Wait for the next setup.
5. There must be NO immediate resistance directly above the setup candle. There must be sufficient clear space between the setup candle and the next resistance level for the trade to reach at least a 1:1 target.

6. The entry triggers ONLY when the HIGH of the setup candle is broken. Do not enter early. Mark the high and wait for price to cross it.

2.3 Entry and Stop Loss for RDB

Parameter	Instruction
Entry Point	Place a buy order ABOVE the HIGH of the setup candle. The trade triggers automatically when price breaks above the high.
Stop Loss	Place the stop loss BELOW the LOW of the same setup candle — but only AFTER the entry is triggered. Do NOT pre-place the stop loss before entry triggers.
Buffer	Add a small buffer to both entry and stop loss. For Nifty: 3–4 points buffer. Adjust per instrument based on volatility.
Default Target	Minimum 1:1 risk-reward. If stop loss is 20 points, target is at least 20 points above entry.
NRC as Target	If there is an NRC zone ahead of the current price, use the low (for RDB) or high (for RDS) of that NRC as the target. Price will stop at the NRC before potentially entering it.

❑ **Rule:** If the LOW of the setup candle breaks BEFORE the HIGH, the setup is INVALID — not just a stop loss hit. There is no entry. You were never in the trade. Discard the setup and wait for the next one to form.

2.4 The Inside Bar Rule — Detailed

The inside bar rule is critical and frequently misunderstood. Here is the exact definition:

- An Inside Bar occurs when the ENTIRE body AND wicks of a candle are contained within the high-to-low range of the preceding candle (the Mother Candle).
- If even a small part of the body or wick extends outside the Mother Candle's range, it is NOT an inside bar — it is a valid, independent candle.
- Why we reject inside bars: an inside bar means the candle is part of an NRC (Narrow Range Consolidation). We never trade inside the NRC.
- The question is binary: is the entire candle contained within the previous candle? If YES → inside bar → skip. If NO → valid candle → proceed to check other conditions.

❑ **Note:** There is no percentage threshold for the inside bar rule. It is all-or-nothing: if the full candle (including wicks) is inside the Mother Candle, it is an inside bar. Even 1 pip outside = NOT an inside bar.

3. RDS — R Delta Sell (Continuation Sell Setups)

RDS stands for Reversal Delta Sell. It is the mirror image of RDB. It is used when price has already reversed from a resistance level and is moving downward. You use RDS to enter or re-enter the sell trade during the downward move, before it reaches support.

3.1 The Two RDS Candle Patterns

Setup	Candle Colour	Delta Direction
RDS1	RED (bearish candle)	POSITIVE (green delta — buyers inside)
RDS2	GREEN (bullish candle)	NEGATIVE (red delta — sellers inside)

Mirror Logic: RDS1 = Red candle + Positive delta (buyers trapped). RDS2 = Green candle + Negative delta (sellers dominant despite bullish candle). Both signal that the continuation of the downtrend is likely.

3.2 The Six Mandatory Conditions for RDS

RDS — All Six Conditions (ALL Must Be Met)
1. Price must have ALREADY reversed from a MAJOR resistance level. The reversal is confirmed. You are not entering at resistance — you are entering mid-trend after the reversal downward.
2. A valid setup candle must form: either RDS1 (red candle + positive delta) or RDS2 (green candle + negative delta).
3. The setup candle must NOT be an Inside Bar. Same rule as RDB — the full candle including wicks must be independent (not contained inside a prior Mother Candle).
4. The HIGH of the setup candle must NOT be broken before the LOW is broken. If high breaks first → setup becomes INVALID immediately. Wait for the next setup.
5. There must be NO immediate support directly below the setup candle. There must be enough clear space for the trade to reach at least a 1:1 target before hitting support.
6. The entry triggers ONLY when the LOW of the setup candle is broken. Do not enter early. Mark the low and wait for price to cross below it.

3.3 Entry and Stop Loss for RDS

Parameter	Instruction
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Entry Point	Place a sell order BELOW the LOW of the setup candle. The trade triggers automatically when price breaks below the low.
Stop Loss	Place the stop loss ABOVE the HIGH of the same setup candle — but only AFTER entry is triggered.
Buffer	Add a small buffer on both sides. Adjust per instrument.
Default Target	Minimum 1:1 risk-reward. Support level is the ultimate target.
NRC as Target	If there is an NRC zone below, use the HIGH of that NRC as the target. Price will slow and potentially reverse at the NRC zone boundary.

□ **Rule: If the HIGH of the setup candle breaks BEFORE the LOW, the setup is INVALID — no entry. Discard and wait for the next setup to form.**

4. RDB vs RDS — Full Comparison

Feature	RDB (Buy Continuation)	RDS (Sell Continuation)
Context	Price reversed from SUPPORT and is moving UP	Price reversed from RESISTANCE and is moving DOWN
Destination (Target)	Resistance level above	Support level below
RDB1/RDS1 Candle	Green candle + Negative delta	Red candle + Positive delta
RDB2/RDS2 Candle	Red candle + Positive delta	Green candle + Negative delta
Invalidation trigger	LOW breaks before HIGH	HIGH breaks before LOW
Entry trigger	HIGH of setup candle breaks	LOW of setup candle breaks
Stop loss placement	BELOW setup candle low (+ buffer)	ABOVE setup candle high (+ buffer)
When to STOP looking	Price reaches resistance	Price reaches support
Applies to	Any trending instrument, any timeframe	Any trending instrument, any timeframe

4.1 When to Stop Taking RDB/RDS Trades

- For RDB: Stop looking for RDB entries when price is approaching or near resistance. Near the resistance, look for IGS (reversal sell setup) instead.
- For RDS: Stop looking for RDS entries when price is approaching or near support. Near the support, look for IGB (reversal buy setup) instead.
- The continuation setup is only valid in the MIDDLE of the journey. Once you are close to the destination, switch to reversal setups.

□ **Note:** Condition 5 (no immediate resistance/support) naturally enforces this rule. If price is already near the opposing S/R level, condition 5 will fail and the setup will be automatically invalid.

5. Trailing Stop Loss Using RDB/RDS

One of the most powerful applications of continuation setups is trailing the stop loss on an existing trade. This allows you to let profits run while progressively reducing risk as price moves in your favour.

5.1 How Trailing Works

- Step 1: You take a buy trade using either an IGB (reversal) or an earlier RDB setup. Price moves upward.
- Step 2: Price makes a small pullback and forms a new RDB setup candle (e.g., a red candle with positive delta — RDB2).
- Step 3: This new RDB candle's LOW becomes your new stop loss level (with buffer).
- Step 4: Trail (move) your existing stop loss to below the new RDB candle's low.
- Step 5: Your stop loss is now closer to the current price, locking in more of your profit.
- Step 6: As each new RDB setup forms on the way up, repeat — keep trailing the stop loss to below each new setup candle's low.
- Step 7: Eventually, either the stop loss is hit (at a small profit or breakeven, much better than the original stop) or price reaches the target.

The Power of Trailing: By trailing with each RDB, you progressively move your stop loss from below the original reversal candle (perhaps 50 points below entry) to just a few points below the most recent pullback. You capture most of the move while ensuring you exit cleanly if the trend reverses.

5.2 Three Uses of Continuation Setups

Use Case	How It Works
Fresh Entry (missed the reversal)	Missed the IGB at support? Use RDB mid-trend for a fresh entry. Stop loss is tighter, risk is smaller than at the reversal.
Re-entry (stop loss was hit earlier)	Your IGB trade was stopped out. Price resumed upward. Use RDB for a clean re-entry into the same direction.
Trail Stop Loss on existing trade	Already in profit from IGB? Use each new RDB to move your stop loss closer to current price, locking in gains.
Pyramiding (advanced)	Add more quantity on each new RDB as confidence increases. Not recommended until setups are mastered.

□ **Note:** For beginners: focus only on using RDB/RDS for fresh entries and re-entries. Practice trailing stop loss once you are comfortable identifying setups consistently. Pyramiding is an advanced skill for later.

6. Target Setting — How to Use NRC as a Target

Many students ask: where do I set my target? Balakrishna provides a clear, rules-based answer using NRC zones as natural price stopping points.

6.1 Default Target — 1:1 Risk-Reward

- The minimum target for any trade is 1:1 risk-reward ratio.
- If your stop loss is 20 points below entry, your minimum target is 20 points above entry.
- If your stop loss is 50 points, minimum target is 50 points profit.
- This ensures that even a 50% win rate produces a net positive result over time.

6.2 Using NRC Zones as Targets

NRC zones create natural stopping points for price movement. They act like a cushion that slows and reverses price. This makes them ideal target levels.

- For a BUY trade (RDB): Look for NRC zones ABOVE the current price. The LOW of the NRC zone (the bottom of the NRC box) is the target. Price may enter the NRC but will slow significantly.
- For a SELL trade (RDS): Look for NRC zones BELOW the current price. The HIGH of the NRC zone (the top of the NRC box) is the target. Price approaching from above will slow at the NRC top.
- The NRC is like a thick liquid zone. Even if price enters the NRC, it will slow and may not blast through immediately. Take profits at the NRC boundary.
- If the NRC is the boundary of an existing support/resistance zone, it becomes an even stronger target.

Target Rule: Mark the high and low of every NRC you see between your entry and the destination S/R level. These are your waypoints — take partial profits or exit at each NRC boundary.

6.3 What Happens When Target is Reached

- When price reaches the resistance (for a buy trade) or support (for a sell trade), your continuation setups stop.
- Switch from looking for RDB to looking for IGS (sell reversal). The trend is near its destination.
- Switch from looking for RDS to looking for IGB (buy reversal). The trend is near its destination.
- Never chase continuation setups near the destination — you will not get enough room for the target.

7. Exhaustion Candle — Recognising and Avoiding the Trap

An Exhaustion Candle is one of the most important warning signs in trading. It signals that the last participants in a move have rushed in — and the move is about to reverse or pause sharply.

7.1 What is an Exhaustion Candle?

- An Exhaustion Candle is a large, fast-moving candle that covers an unusually wide price range in a single session or short period.
- It typically appears at the END of a trend — when the last buyers (in an uptrend) or last sellers (in a downtrend) pile in emotionally.
- The candle opens and moves very far in one direction without a normal pullback — it looks like a 'spike' or 'blast' candle.
- It signals exhaustion of the participants: all the willing buyers (or sellers) have entered. There is no one left to push price further. A reversal or pause is imminent.

7.2 Recognising an Exhaustion Candle

- The candle is significantly larger than the average candle size around it.
- The opening is far from the previous close — often a gap up or gap down.
- The candle body is very large, with relatively small wicks.
- Volume (if visible) is unusually high on this candle.
- The candle appears at the end of a trend, not in the middle.

Real Example: During a bullish run, gold opened high with a massive gap-up candle covering thousands of points. This was the exhaustion candle — the last buyers rushed in. Shortly after, the reversal began. Those who bought into the exhaustion candle suffered losses.

7.3 What to Do with Exhaustion Candles

Situation	Action
You see a large gap-up or gap-down open	Wait. Do NOT trade immediately. This is likely an exhaustion candle or the start of one.
A very large bullish candle forms at the top of a rally	Do NOT buy into it. Look for a reversal sell setup (IGS) shortly after.
A very large bearish candle forms at the bottom of a decline	Do NOT sell into it. Look for a reversal buy setup (IGB) shortly after.

An exhaustion candle forms mid-trend

Reassess direction. The trend may be weakening.

After the exhaustion candle

Wait for the next structure (NRC, pullback, or setup candle) before entering any trade.

❑ **Rule: Never chase an exhaustion candle. The people who bought into a massive gap-up or euphoric rally at the very top are the ones who lose money. The exhaustion candle is where the smart money exits and the retail crowd rushes in. Your job is to identify this and stay out.**

7.4 Delta Reading of an Exhaustion Candle

- An exhaustion candle often has very high volume (large delta number) — confirming that a large number of emotional participants entered.
- If a massive green candle shows very high buy volume (large positive delta), it means all the buyers who were going to buy have already bought. Price has no more fuel to go higher.
- After the exhaustion, a small delta on subsequent candles confirms the excitement is fading.

8. Bearish Market Advantage

Balakrishna makes an important counterintuitive observation: bearish (falling) markets are actually BETTER for traders than bullish markets. This is particularly relevant in the current market environment.

8.1 Why Bearish Markets are Better for Traders

Market Condition	Trading Experience
Bullish (rising) market	Frequent gap-ups every morning. Miss the entry overnight and you miss the entire move. Hard to find re-entries. Options become very expensive. Trading becomes frustrating.
Bearish (falling) market	Fewer gap-downs. Moves are more controlled and predictable. RDS setups are clean and consistent. Better risk-reward. Options are cheaper. More entries available.

- In a bullish market, gold and other assets gap up every single day. You either catch the gap or miss the entire move — there are almost no intraday entry opportunities.
- In a bearish or sideways market, price moves step-by-step, giving multiple entry opportunities as it forms RDS setups during the decline.
- Balakrishna's experience confirms: bearish markets produce more consistent profits for skilled traders than bullish markets.

Mindset Shift: When you see the market falling, do not panic. If you have learned this system, a falling market is your friend. Every pullback in a downtrend is a new RDS opportunity. The train still has many stations to stop at before reaching support.

9. Complete Trading Workflow — Step by Step

Putting everything together, here is the complete decision-making workflow for using continuation setups in a real trading session.

9.1 For a BUY Continuation Trade (RDB)

- Step 1: Draw your major support and resistance levels on the 15-minute chart.
- Step 2: Confirm that price has reversed from a major support (either through an IGB setup or clearly observed reversal).
- Step 3: On the 5-minute chart, watch for pullbacks during the upward move.
- Step 4: When a pullback occurs, look for an RDB1 (green candle, red delta) or RDB2 (red candle, green delta) candle.
- Step 5: Check ALL SIX conditions before considering entry.
- Step 6: Mark the HIGH and LOW of the setup candle on the chart.
- Step 7: Place a buy stop order ABOVE the HIGH (with buffer). Wait.
- Step 8: If LOW breaks first → cancel the order, setup is invalid. Wait for next.
- Step 9: If HIGH breaks → entry triggers. Immediately place stop loss BELOW the LOW (with buffer).
- Step 10: Set target at the nearest NRC zone above, or resistance level, minimum 1:1 R:R.
- Step 11: If another RDB forms before target is hit → trail stop loss to below the new setup candle's low.
- Step 12: Stop looking for RDB when price is close to resistance. Switch to IGS watch.

9.2 For a SELL Continuation Trade (RDS)

- Step 1: Draw your major support and resistance levels on the 15-minute chart.
- Step 2: Confirm that price has reversed from a major resistance (either through an IGS setup or clearly observed reversal).
- Step 3: On the 5-minute chart, watch for pullbacks (upward bounces) during the downward move.
- Step 4: When a pullback/bounce occurs, look for an RDS1 (red candle, green delta) or RDS2 (green candle, red delta) candle.
- Step 5: Check ALL SIX conditions before considering entry.
- Step 6: Mark the HIGH and LOW of the setup candle on the chart.
- Step 7: Place a sell stop order BELOW the LOW (with buffer). Wait.
- Step 8: If HIGH breaks first → cancel the order, setup is invalid. Wait for next.
- Step 9: If LOW breaks → entry triggers. Immediately place stop loss ABOVE the HIGH (with buffer).

- Step 10: Set target at the nearest NRC zone below, or support level, minimum 1:1 R:R.
- Step 11: If another RDS forms before target is hit → trail stop loss to above the new setup candle's high.
- Step 12: Stop looking for RDS when price is close to support. Switch to IGB watch.

10. Quick Reference — Setup Identification Card

Use this reference card during live trading to quickly identify and validate setups.

Setup	Candle	Delta	Invalidation	Entry
RDB1	Green (bullish)	NEGATIVE (red)	Low breaks first	Buy above HIGH
RDB2	Red (bearish)	POSITIVE (green)	Low breaks first	Buy above HIGH
RDS1	Red (bearish)	POSITIVE (green)	High breaks first	Sell below LOW
RDS2	Green (bullish)	NEGATIVE (red)	High breaks first	Sell below LOW

10.1 Six-Condition Checklist (Apply to Every Setup)

#	Condition to Check
✓1	Has price already reversed from a MAJOR support (RDB) or MAJOR resistance (RDS)?
✓2	Is the candle the correct type? (RDB1: green+neg delta RDB2: red+pos delta RDS1: red+pos delta RDS2: green+neg delta)
✓3	Is the setup candle NOT an inside bar? (Entire body must NOT be inside the prior candle)
✓4	Has the invalidation side NOT been broken? (RDB: low intact RDS: high intact)
✓5	Is there enough clear space before the next opposing S/R level? (Room for at least 1:1 target)
✓6	Is the entry set correctly? (RDB: buy above HIGH RDS: sell below LOW)

11. Session 5 Golden Rules

#	Golden Rule
1	RDB and RDS are continuation setups. They are used to enter in the MIDDLE of a trend, not at the top or bottom.
2	The train analogy: if you miss the reversal at support/resistance, you can board the same trend at any intermediate pullback using RDB/RDS.
3	RDB is for buy continuation after a reversal from support. RDS is for sell continuation after a reversal from resistance.
4	RDB1 = Green candle + Negative delta. RDB2 = Red candle + Positive delta.
5	RDS1 = Red candle + Positive delta. RDS2 = Green candle + Negative delta.
6	ALL SIX conditions must be met. A setup that fails even one condition is not a valid trade.
7	The inside bar rule: if the ENTIRE setup candle (including wicks) is inside the prior candle, skip it. It is part of an NRC.
8	For RDB: if the LOW breaks before the HIGH — the setup is INVALID. Cancel the pending order immediately.
9	For RDS: if the HIGH breaks before the LOW — the setup is INVALID. Cancel the pending order immediately.
10	There must be no immediate resistance (RDB) or support (RDS) ahead. If there is no room for a 1:1 target, do not take the trade.
11	Entry for RDB: only when the HIGH breaks. Entry for RDS: only when the LOW breaks. Never enter early.
12	Stop loss is placed AFTER entry triggers — never before. RDB: stop below setup candle low + buffer. RDS: stop above setup candle high + buffer.
13	Default target: minimum 1:1 risk-reward ratio. Always.
14	NRC zones in the path of the trade act as natural targets. Use the NRC low (for RDB) or NRC high (for RDS) as the target level.
15	Stop looking for RDB when price is near resistance. Stop looking for RDS when price is near support. Switch to reversal setup watch.
16	Trailing stop loss: each new RDB/RDS that forms on the way to target allows you to move your stop loss to below/above the new setup candle.
17	An Exhaustion Candle is a large, fast candle at the end of a trend — it means all participants have entered. Do NOT trade into it. Wait for the next structure.
18	Bearish markets are easier to trade than bullish markets. Fewer gap-downs, more predictable moves, more RDS opportunities.
19	These setups are 100% intraday. Do NOT hold RDB or RDS trades overnight.

20 You do not need to master all four setups at once. Pick one (e.g., RDB1 or RDS2), master it completely, then add others.

12. Glossary of Session 5 Terms

Term	Definition
RDB	R Delta Buy. Continuation buy setup used mid-trend after a reversal from support. Two variants: RDB1 and RDB2.
RDS	R Delta Sell. Continuation sell setup used mid-trend after a reversal from resistance. Two variants: RDS1 and RDS2.
RDB1	Green (bullish) candle + Negative (red) delta. Buyers won despite seller pressure inside the candle.
RDB2	Red (bearish) candle + Positive (green) delta. Buyers were dominant inside despite the bearish close.
RDS1	Red (bearish) candle + Positive (green) delta. Sellers won despite buyer activity inside.
RDS2	Green (bullish) candle + Negative (red) delta. Sellers were dominant despite the bullish close.
Reversal Setup (IGB/IGS)	Entry at the source point — the top or bottom. Used when price first touches support (IGB) or resistance (IGS).
Continuation Setup	Entry in the middle of an already-moving trend. Used after the reversal is confirmed, during pullbacks.
Inside Bar	A candle whose ENTIRE range (body + wicks) is contained within the range of the preceding candle. Treated as part of an NRC — never traded.
Invalidation	The condition that makes a setup invalid before entry triggers. For RDB: low breaks first. For RDS: high breaks first.
Entry Trigger	The specific price level that activates the trade. For RDB: the HIGH of the setup candle. For RDS: the LOW.
Trailing Stop Loss	The practice of moving your stop loss to below each new RDB candle (or above each new RDS candle) as price moves in your favour — locking in profits.
Exhaustion Candle	An abnormally large candle at the end of a trend signalling that all participants have entered. Reversal is imminent. Do not trade into it.
NRC as Target	Using the boundary of a Narrow Range Consolidation zone ahead of price as the profit target level.
1:1 R:R	1:1 Risk-Reward. If your stop loss is 20 points, your target is also 20 points. The minimum acceptable risk-reward for any trade.

Pyramiding	Adding more position size on each successful new RDB/RDS during a strong trend. Advanced technique — not for beginners.
Destination	The opposing support (for a buy trade) or resistance (for a sell trade) that the market is heading toward.
Boarding the Train	Balakrishna's analogy for entering a trend at an intermediate point using a continuation setup, like boarding a moving train at an intermediate station.

13. Practice Tasks

Core Practice Tasks

- On any 5-minute chart (Nifty, Bank Nifty, Crude Oil), identify three complete upward moves from a major support to resistance. On each move, mark every RDB1 and RDB2 candle that formed during pullbacks. Verify all six conditions for each.
- Similarly, find three complete downward moves and mark all RDS1 and RDS2 candles. Verify conditions.
- Practice the invalidation rule: on each setup you mark, check — did the invalidation side break first? How many setups would have been invalidated before entry? This builds discipline.
- Practice the inside bar rule: on any chart, find five inside bars. For each, identify the Mother Candle that contains them. Confirm you would have skipped these as NRC candles.
- Use the backtest/replay feature on Pro Charting: go back 2-3 weeks, run the chart forward in real time, and practice calling RDB/RDS setups live as the candles form. Mark entry, stop loss, and target.
- Practice trailing stop loss: on a backtested upward move, trail your stop loss below each new RDB candle that forms. Calculate how much profit you would have locked in at each step.
- Identify three exhaustion candles on historical charts. Note what happened after each one — did price reverse? How quickly?
- On Bank Nifty or Crude Oil charts, practice the RDS exclusively for one full week of backtesting. RDS in a downtrend is particularly reliable.

Next Session Preview (22nd)

- How to minimize stop loss size — making risk even tighter.
 - How to maximise target size — extracting the most from each trade.
 - Additional secrets and advanced techniques from Balakrishna's experience.
 - Watchlist creation and stock selection in Pro Charting.
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End of Session 5 Notes

NOTES PREPARED BY AZAM (BOOTCAMP MANAGER)